KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Petition No: IA No 3/2024 & OP No 30/2024

Present	**:**	**Sri. T.K.Jose, Chairman** **Sri. B. Pradeep, Member**
In the matter of	**:**	Petition filed by M/s Smart City, Kochi for the Truing Up of Accounts for the financial year 2022-23
Petitioner	**:**	M/s Smart City, Kochi Infrastructure Private Limited
Represented by	**:**	Sri.Jinu John Jacob, Company Secretary Sri.Ranjithlal, Senior Manager- Asset & Infrastructure
Respondent	**:**	M/s Kerala State Electricity Board Limited
Represented by	**:**	Sri. Ajith Kumar K.N, Executive Engineer, KSEB Ltd Sri.Shan B.S, Asst. Executive Engineer, KSEB Ltd Smt. Archana M, Asst. Engineer, KSEB Ltd
Date of Hearing:	**:**	26.09.2024 at Court Hall of the Commission

Order Dated 13.11.2024

1. M/s Smart City (Kochi) Infrastructure Private Limited (hereinafter referred to as SCK or the licensee or the petitioner) is an Information Technology Special Economic Zone in Kochi, Kerala. SCK is a Joint Venture company formed by Government of Kerala (16% holding) and Dubai Holding (84% holding) for development of infrastructure for knowledge-based industries. The Kerala State Electricity Regulatory Commission (hereinafter referred to as 'the Commission') had granted distribution license to Smart City (Kochi) Infrastructure Private Limited vide Notification No.1756/C.Engg/SCK/2013 dated 17.07.2014 and commenced distribution business in the year 2016.

2. The Commission had notified the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021 (hereinafter referred to as the Tariff Regulations, 2021) for the five-year Control Period starting from the first day of April 2022 and ending on the thirty first day of March 2027. As per Regulation 10(2) of the KSERC (Terms and conditions for determination of Tariff) Regulations 2021, the petition for Truing Up for 2022-2023 is to be filed by the licensee on or before 30-11-2023. However, the licensee filed the petition for Truing Up of Accounts only on 06-08-2024 i.e., after delay of 8 months and 5 days. The licensee had filed petition for condonation of delay

(IA No 3/2024).The licensee had submitted the following reasons for the delay in filing the petition for truing up of accounts for the year 2022-23.

> *" a. Finalization and delay in submission of petition for the approval of RoNFA , Interest and Financial charges for the capital investment done by the Licensee from 2015-16 to 2019-20.*
>
> *b. Smart City is engaging only minimal staff to carry out the distribution business functions in order to minimise the overall cost. Moreover these employees are also doing other functions of SmartCity. Due to this, the work load of staff involved in KSERC matters is high and these staffs require several sittings & clarifications regarding regulatory provisions related to Truing up to ensure the correctness of the petition."*

3. The Commission considers the submission made by the licensee, condones the delay and admitted the petition for truing up of accounts for 2022-23 as OP 30/2024. The licensee has filed the petition for truing up of accounts for the year 2022-23 as per the provisions of the KSERC (Terms and Conditions for determination of Tariff) Regulations 2021. The present petition is for the first year of the Control Period.

4. The Commission vide Order in OP No.13/2023 dated 26.03.2024 has approved the ARR&ERC for the Control Period. In the present petition for truing up the accounts, the licensee has claimed a revenue gap of Rs.71.92 lakh compared to revenue gap of Rs.19.18 lakh approved by the Commission in the Order on ARR&ERC. A comparison of the claim made in the present petition with the ARR&ERC approved by the Commission is tabulated below. A comparison of the ARR approved in the Order dated 26.03.2024 and the Truing up claim for the financial year 2022-23 as per the petition along with the trued-up figures for the year 2021-22 is shown below;

Table 1
Comparison of the ARR&ERC and Truing up of accounts (Rs. lakh)

Particulars	2021-22			2022-23	
	ARR Order	Truing Up Petition	Trued Up	ARR Order	Truing Up Petition
Purchase of power	830.63	335.57	335.57	425.11	489.56
Employee Cost	49.61	16.46	16.46	38.82	17.46
R&M Expenses		21.09	21.09		22.17
A&G Expenses		5.64	5.64		8.09
Depreciation	-	78.87	78.87	78.87	78.87
Interest and financing charges	-	2.90	28.75	38.09	38.57
Return on equity/NFA	-	-	-	-	38.79
Total Expenditure	**880.24**	**466.73**	**486.38**	**580.89**	**693.51**
Revenue from sale of power	993.25	364.78	364.78	555.68	611.27
Other income	6.36	7.61	7.61	6.03	10.32
Total income	**999.61**	**372.39**	**372.39**	**561.71**	**621.59**
Revenue (Gap)/surplus	**119.37**	**(94.34)**	**(113.99)**	**(19.18)**	**(71.92)**

Hearing on the Petition

5. The hearing on the petition was conducted on 26.09.2024 at Court Hall of the Commission. Sri.Jinu John Jacob, Company Secretary and Sri. Ranjithlal, Senior Manager - Asset & Infrastructure represented the petitioner and responded to the queries of the Commission. Sri.Ranjithlal made a presentation on the petition before the Commission and the team representing the petitioner replied to the queries of the Commission. The main points mentioned in the presentation are briefed below;

   a) The number of consumers during the year 2022-23 is 65 and the actual sale for the year is 56.13 lakh units, which is higher than that of the previous year. The sale during 2021-22 was 37.33 lakh units and the number of consumers was 62.
   b) The energy purchased from KSEB Ltd is 60.44 lakh units compared to 39.32 lakh units in the previous year.
   c) The licensee has stated in the petition that they have commissioned grid connected solar plant at SCK 01 of capacity 564.46 kWp consisting of two units with individual capacity of 475 kWp (Roof top of SCK01 building) 89.46 kWp (Bike parking roof).Two solar plants of capacity of 63 kWp and 90.44 kWp has been commissioned by Gems Modern Academy and Mariapps India Pvt Ltd respectively. The electricity injected to the distribution network from solar plant is requested to be treated as power generated by prosumer. During the year, 949131 units of solar energy was used for common area lighting, common area loads like lifts, pumps, HVAC units etc.
   d) Considering the actual purchase from KSEB Ltd, the distribution loss is 7.13% whereas considering the energy of 57.83 lakh units received at the Smart City end, the distribution loss is 2.94%.
   e) The actual cost for the purchase of 60.44 lakh units is Rs.489.56 lakh. The power purchase cost incurred during the year includes Rs.36.10 lakh towards wheeling charges for drawing power from KSEB Ltd through Infopark 220 KV substation.
   f) The Commission while approving the Order on ARR&ERC had approved Rs.38.82 lakh as the total O&M expenses for the year 2022-23. The licensee in the present petition has claimed Rs.47.72 lakh as the O&M expense which is Rs.8.90 lakh higher than the approved amount.
   g) The Employee cost claimed for the year 2022-23 is Rs.17.46 lakh. The licensee has apportioned 50% of the total salary of three employees towards the distribution business activity.
   h) The actual R&M expense for the year is Rs.22.17 lakh, which includes the O&M cost of the outsourced agency. The claim made by the licensee is higher than the expenses incurred during the previous year.

i) The A&G expenses claimed for the year is Rs.8.09 lakh. The licensee has apportioned some expenses as part of A&G (10% to 15% of the total expense) such as Telephone & Postage, Water charges, Printing & Stationery, Office Expenses, V-sat, Internet and related charges.

j) The depreciation claimed for the year 2022-23 is Rs. 78.87 lakh as approved in the Order on ARR&ERC.

k) The licensee in the petition has claimed an amount of Rs. 38.57 lakh as interest and finance charges which includes Rs.4.25 lakh as interest on security deposit of consumers and Rs. 34.32 lakh as carrying cost for past accumulated revenue gaps.

l) The licensee in the petition has claimed an amount of Rs.38.79 lakh as RoNFA.

m) The **total expenditure** incurred in 2022-23 is **Rs.693.51 lakh**

n) The Revenue from sale of power in 2022-23 is Rs. 611.27 lakh. Major revenue realisation is from LT VI B consumers

o) The Non Tariff Income claimed by the licensee is Rs.10.32 lakh which includes interest on deposits, interest on delayed payments.

p) The **total revenue** for the year 2021-22 is **Rs.621.69 lakh**

q) The petition for the truing up of accounts for the year 2021-22 is submitted with a **revenue gap of Rs.71.92 lakh.**

6. KSEB Ltd was represented by Sri. Ajith Kumar K.N, Executive Engineer, Sri.Shan B.S, Asst. Executive Engineer and Smt. Archana M, Asst. Engineer. Sri. Shan presented their comments on the petition, which is summarized below;

a. Compared to the previous year, the number of consumers and energy sales have increased substantially. However, LT VI(B) category consumers (IT and IT-enabled industries) have decreased from 48 to 34, raising concerns about the Smart City's role in supporting knowledge-based industries.

b. Distribution loss is a controllable factor as per Regulation. For 2022-23, the actual distribution loss was 2.94% against the approved 2.20%. Higher-than-approved loss levels may result in disallowance.

c. Employee costs include salaries for three full-time employees; additional staff needs are met through contract labor under R&M expenses. Given its public service role and capex petitions, the licensee should consider hiring full-time staff instead of relying on outsourcing.

d. Material and service costs are relatively low, casting doubt on adequate maintenance activities. The Commission may conduct a prudential check on maintenance practices and material usage.

e. Electricians may not be essential for the licensee's duties. The Commission may verify if these staff members perform tasks outside distribution requirements (e.g., wiring or equipment repairs) and ensure costs align with actual licensee needs.

f. The total A&G expenses has increased 43.43% in just one year which in very high and hence may be limited.

g. The licensee has filed a petition for approval of RoNFA, interest and financial charges for capital investments from 2016-17 to 2019-20, which is pending for Commission order.

h. In line with the 2021-22 Truing Up order, the licensee's 2022-23 claim for Rs. 78.87 lakhs in depreciation without asset additions may be approved as previously done.

i. The energy purchase and the power purchase cost tally with the records of KSEB Ltd.

Analysis and Decision of the Commission

7. The Commission has carefully examined the petition submitted by the licensee, the comments and arguments during the hearing and the comments/observations of KSEB Ltd. The analysis and decision of the Commission on the petition for truing up of accounts for the year 2022-23 are detailed below:

Energy Sales and Consumer Mix

8. The licensee in the petition for approval of ARR & ERC had projected a sale of 49.50 lakh units anticipating the growth in the IT sector, which were approved by the Commission as such. The actual sales for the year is 56.13 lakh units which is higher than the approved sales. Commission may see that the sales for the year 2022-23 is higher than the actual sales during 2021-22. A comparison of the actual sale of power for different consumer categories is given below;

Table-2
Comparison of number of consumers and sales during 2021-22 and 2022-23

Tariff Category	**2021-22**		**2022-23**	
	Number of Consumers	Energy salesunits (In lakh)	Number of Consumers	Energy salesunits (In lakh)
LT IV (B) -Industrial IT &IT Enabled	35	14.95	34	18.37
LT VI (F) -Construction	23	5.08	27	8.82
HT I (B)	2	11.17	2	17.53
HT II (B)	2	6.13	2	11.41
TOTAL	**62**	**37.33**	**65**	**56.13**

9. Compared to the previous year, there is increase in the number of consumers and the sales. The licensee has stated that the increase is mainly due to the fact that many IT units started working from office and stopped work from home facility. ***Considering the recovery from the pandemic, the Commission hereby approves the actual energy sales of 56.13 lakh units as claimed in the petition for Truing Up of Accounts for the financial year 2022-23.***

Energy requirement and Distribution Loss

10. As per details provided in the petition, during the year 2022-23, the energy purchased from KSEB Ltd was 60.44 lakh units and the sale of power was 56.13 lakh units. Considering the actual purchase from KSEB Ltd, the distribution loss is 7.13% whereas considering the energy of 57.83 lakh units received at the Smart City end, the distribution loss is 2.94%. The details as submitted by the licensee is tabulated below;

Table-3
Distribution loss for 2022-23

Particulars	Billed purchase units	Received at Smart City End
Energy Purchased (lakh units)	60.44	57.83
Energy Sold (lakh units)	56.13	56.13
Distribution Loss (lakh units)	4.31	1.7
Distribution Loss (%)	**7.13%**	**2.94%**

11. The distribution loss of 7.13% is including the agreed loss for wheeling the power through Infopark network. The Commission in previous Orders on truing up of accounts and the Order of approval of ARR&ERC had discussed the matter in detail. The Commission while issuing the Order on ARR& ERC had approved a distribution loss of 1.71%, the distribution loss level as approved by the Commission during Truing Up Order 2020-21. The Commission in the Order on ARR&ERC had ordered as follows;

> *"The Commission is of the considered view that the distribution loss is to be reduced and distribution loss of the first year of the Control Period (2022-23) is fixed by the Commission as 1.71% being the distribution loss level as approved by the Commission during Truing Up Order 2020-21. Thereafter, the loss reduction target of 0.05% has to be achieved during each year of the Control Period by the licensee. The Commission hereby further directs the licensee to follow the guidelines issued by the CEA on 'Electricity Distribution Network Planning Criteria' regarding the measure for reducing the technical losses in the system."*

12. A comparison of the losses over the years is tabulated below.

Table-4
Comparison of Distribution loss for 2020-21, 2021-22 & 2022-23

Particulars	2020-21		2021-22		2022-23		
	As per Truing up petition	Trued Up	As per Truing up petition	Trued Up	ARR Approved	As per Truing up petition	
						Billed purchase units	Received at Smart City End
Energy Purchased (lakh units)	30.57	29.25	39.32	37.62	50.36	60.44	57.83
Energy Sold (lakh units)	28.75	28.75	37.33	37.33	49.50	56.13	56.13

Distribution Loss (lakh units)	1.82	0.50	1.99	0.29	0.86	4.31	1.70
Distribution Loss %	**5.94%**	**1.71%**	**5.045%**	**0.77%**	**1.71%**	**7.13%**	**2.94%**

13. The Commission has analyzed the submissions made by the licensee. Compared to the previous year, the distribution loss is higher than that of the previous year. The distribution loss was showing a reducing trend and now had peaked up, which is not a prudent practice. Distribution loss is a controllable parameter as per Tariff Regulations, 2021. Regulation 73(3) clearly specifies the methodology to be considered to account for any variation between the actual level of distribution loss and the approved level of the distribution loss. The relevant portions of the Regulation are as shown below:

73. Distribution loss...
.....

(3) Any variation between the actual level of distribution loss and the approved level of the distribution loss shall be dealt with, as part of the truing up of the respective financial year in the following manner: -

i. if the actual distribution loss is higher than the approved level of distribution loss for any particular financial year of the control period, then the quantum of power purchase corresponding to the excess distribution loss for that financial year shall be disallowed at the average cost of power purchase for the respective financial year;

ii. if the actual distribution loss is lower than the approved level of distribution loss for any particular financial year of the control period, then the savings in the power purchase cost corresponding to the difference in distribution loss for that financial year at the average cost of power purchase for the respective financial year, shall be shared between the distribution business/licensee and the consumers in the ratio of 2:1

14. Considering the fact that the licensee during the previous year has achieved a lower distribution loss, the Commission is of the considered view that the loss of 1.71% as approved in the Order for ARR&ERC, is to be considered for truing up also. Accordingly, the Commission hereby approves the distribution loss of 1.71% for the year 2022-23 and accordingly adjusts the power purchase cost at the average cost of power purchase. ***The Commission also directs the licensee to continue all efforts to reduce the distribution loss. Considering the approved distribution loss of 1.71%, the approved energy requirement for the year 2022-23 is as shown below:***

Table 5
Approved Energy input & Distribution Loss for the year 2022-23

Particulars	Approved in ARR	As per Truing up petition	Trued up
Energy Sales (lakh units)	49.50	56.13	56.13
Distribution Loss (%)	1.71%	2.94%	1.71%
Distribution Loss (lakh Units)	0.86	1.70	0.98
Energy Requirement (lakh units)	50.36	57.83	**57.11**

15. ***Accordingly, the Commission hereby approves the distribution loss of 1.71% for the year 2022-23.***

Power Purchase Cost

16. The actual cost for the purchase of 60.44 lakh units is Rs.489.56 lakh. The power purchase cost incurred during the year includes Rs.36.10 lakh towards wheeling charges for drawing power from KSEB Ltd through Infopark 220 KV substation. Compared to the ARR approved power purchase cost, there is increase in the purchase cost on account of higher power purchase.

17. Smart City has signed (September 2019) Power Purchase agreement for 3000 kVA with KSEB Ltd for availing power through Infopark 220 kV substation. The licensee has also stated that, since the power is wheeled through the network of Infopark, the wheeling charges as per the approved rate and sharing of distribution loss were considered by the licensee while calculating the power purchase cost for the year. The power purchase cost claimed by the licensee is shown below.

Table- 6
Details of the cost of power purchase claimed for 2022-23

Energy Purchase (Lakh Units)	60.44
Demand Charges (Rs. Lakh)	100.05
Energy Charges (Rs. Lakh)	353.41
Wheeling Charge to Infopark (Rs. Lakh)	36.10
Total (Rs. lakh)	**489.56**

18. The licensee has in the petition stated that the solar generation is 949131 units of energy. The licensee has stated that there is no export from the plant and the energy is used for common area lighting, common area loads like lifts, pumps, HVAC units etc. The details of the solar generation are tabulated below;

Table- 7
Details of solar generation for 2022-23

Sl No.	Prosumer Name	Capacity of Solar Plant (Kwp)	Solar Generation (units)
1	SmartCity(Kochi)Infrastructure Pvt Ltd	564.46	757869
2	Gems Modern Academy	63.00	82636
3	Mariapps India Pvt Ltd	90.44	108626
Total			**949131**

19. Considering the approved distribution loss, the quantum of power purchase corresponding to the excess distribution loss is disallowed at the average cost of power purchase and the approved power purchase cost is shown below;

Table 8
Details of the cost of power purchase approved for 2022-23

	Particulars	
1	Actual distribution loss at 2.94 % (lakh units)	1.70
2	Energy loss at approved distribution loss at 1.71% (lakh units)	0.98
3	Excess distribution Loss (lakh units) (1-2)	0.72
4	Average power purchase cost Rs. /kWh	8.10
5	Excess distribution Loss at average power purchase cost (Rs. lakh)	5.83
6	Actual Power purchase cost (Rs. lakh)	489.56
7	**Approved Power purchase cost (Rs. lakh) (6-5)**	**483.73**

20. ***Accordingly, the Commission hereby approves Rs.483.73 lakh as the cost of power purchase for the year 2022-23.***

Operation & Maintenance Expenses

21. Operation and Maintenance expenses are controllable expenses which include Employee cost, Repair & Maintenance expenses and Administrative & General expenses. The Commission while approving the Order on ARR&ERC had approved Rs.38.82 lakh as the total O&M expenses for the year 2022-23. The Commission in the Order had fixed the amount towards O&M expenses considering the escalation of 4.454% taking 2020-21 as the base year. The licensee in the present petition has claimed Rs.47.72 lakh as the O&M expenses which is Rs.8.90 lakh higher than the approved amount. During the previous year, the total O&M expenses approved by the Commission were Rs.43.19 lakh. A comparison of the O&M expenses is tabulated below.

Table-9
Comparison of the O&M expenses for 2021-22 and 2022-23 (Rs. Lakh)

Particulars	**2021-22**			**2022-23**	
	ARR Order	**Truing Up Petition**	**Trued Up**	**ARR Order**	**Truing Up Petition**
Employee Cost	49.61	16.46	16.46	16.96	17.46
R&M Expenses		21.09	21.09	17.20	22.17
A&G Expenses		5.64	5.64	4.66	8.09
Total	**49.61**	**43.19**	**43.19**	**38.82**	**47.72**

Employee cost

22. The employee cost claimed by the licensee for the year 2022-23 is Rs.17.46 lakh. The licensee in the truing up petition has apportioned 50% of the total salary of three employees, towards distribution business activity. The licensee

has not claimed any amount towards gratuity payments. During the previous year 2021-22, the actual employee cost claimed by the licensee was Rs.16.46 lakh which was approved by the Commission. A comparison of the employee cost claimed is shown below.

Table-10
Comparison of the Employee expenses (Rs. lakh)

Particulars	2020-21		2021-22		2022-23
	As per Truing Up Petition	Trued Up	As per Truing Up Petition	Trued Up	As per Truing Up Petition
Basic Salary	6.13	6.13	6.13	6.13	6.55
House Rent Allowance	3.91	3.91	3.91	3.91	4.19
Conveyance Allowance	1.68	1.68	1.68	1.68	1.78
Other Allowances	3.54	3.54	3.54	3.54	3.77
Provident Fund Contribution	0.77	0.77	0.77	0.77	0.83
Gratuity Payment	0.19	0.00	0.34	0.34	0.00
Others (Personal Accident/Insurance)	0.20	0.20	0.42	0.42	0.34
Gross Employee Expenses	**16.43**	**16.24**	**16.80**	**16.80**	**17.46**
Less: Expenses Capitalised	-	-	-	-	-
Less Gratuity Payment	-	-	0.34	0.34	-
Net Employee Expenses	**16.43**	**16.24**	**16.46**	**16.46**	**17.46**

23. The licensee in the petition has submitted the employee wise detailed split up of the employee expenses for the year 2022-23 which is shown below.

Table - 11
Split up of the employee expenses for the year 2022-23 (Rs. lakh)

Particulars	Assistant Director- Asset & Infrastructure	Deputy Manager- MEP	Deputy Manager- Accounts
Basic Pay	5.91	3.08	4.11
HRA	4.75	1.23	2.40
Conveyance	1.54	1.28	0.73
Children Education Allowance	2.05	0.72	1.14
Other Allowances	1.99	0.84	0.80
PF Employer Contribution	0.74	0.39	0.52
Medical Insurance / Expenses	0.30	0.13	0.17
Life Insurance / Expenses	0.04	0.02	0.03
Total	17.33	7.69	9.89
Grand Total	34.91		
50% of the salary considered for Licensee	**17.46**		

24. The Commission has examined the details furnished by the licensee and It is seen that there is an increase of over 6% in the employee cost over the previous year. As per the Tariff Regulations, 2021, the licensee shall be allowed to recover the operation and maintenance expenses as per the norms specified in

Tariff Regulations for each financial year of the Control Period. Regulation 80 (2) of the Tariff Regulations, 2021 has fixed limits of the O&M expenses for each year of the distribution licensees considering an escalation of 4.454% for the years of the Control Period considering 2020-21 as the base year, whereas had not fixed the norms for Smart City, as the truing up of accounts considered for deriving the norms had not been completed. The Commission vide Order dated 26.03.2024 had approved the norms based in ARR&ERC Order. The details are given below.

Table 12
O&M Expenses as per the Tariff Regulations, 2021 (Rs. lakh)

Particulars	Base year	Control period				
	2021-22	2022-23	2023-24	2024-25	2025-26	2026-27
Employee Cost	16.24	16.96	17.72	18.51	19.33	20.19
R&M Expenses	16.47	17.20	17.97	18.77	19.61	20.48
A&G Expenses	4.46	4.66	4.87	5.08	5.31	5.55
Total	**37.17**	**38.82**	**40.56**	**42.36**	**44.25**	**46.22**

25. The Commission on 26.03.2024 had issued the Order on ARR&ERC wherein had approved the norms for the Control period. It has come to the notice of the Commission that an error has crept in with regard to finalizing the norms. The Commission had considered the actual expenses for the year 2020-21 with the escalation rates to reach to 2021-22, which was inadvertently approved as figures of 2022-23. Thus the escalation of 4.84% applicable for the second year was not catered in the approved norms. The Commission is of the considered view that the error is to be corrected and accordingly revises the figures in as detailed below;

26. The paragraph-1 of the Annexure-7 of the Tariff Regulations, 2021 specifies inflation rate adopted for tariff determination for the Control Period from 2022-23 to 2026-27. Further, the 'Note' to the paragraph-1 to Annexure-7 permits that, the actual inflation will be allowed at the stage of truing up for the respective years. The relevant provisions of the Regulations, 2021 is stated below.

"Methodology adopted for specifying the Normative Operation & Maintenance (O&M) Costs for the 5-year Control Period (2022-27)

1. The O&M costs consist of:
   - *Employee cost;*
   - *Administrative & General (A&G) expenses; and*
   - *Repair & Maintenance (R&M) costs.*

The annual inflation/ escalation rate under the Control Period (2018-22) was fixed at 4.84% based on the CPI (Industrial workers) & WPI indices in the weightage ratio

70:30, for the 4-year period (2013-14 to 2016-17). Considering the 5-year MYT period in this Regulation and the subdued performance of the economy in the year 2020-21 due to the 'Covid 19' pandemic; it is proposed to fix the annual escalation factor for the 5-year MYT Control Period (2022-23 to 2026-27) as follows: -

a) The average of the increase in the CPI & WPI indices, for the 4-year period(2017-18 to 2020 -21), as given in Table- 1 below:

Table- 1
Computation of Escalation Factors for this MYT Regulation

Sl.No	***Escalation factors/ year***	***2017-18***	***2018-19***	***2019-20***	***2020-21***
1	*CPI (Industrial Workers) 2001=100*	*284.42*	*299.90*	*322.50*	*338.69*
2	*Annual CPI increase %*	*3.08*	*5.44*	*7.54*	*5.02*
3	*WPI (2011-12) series*	*114.90*	*119.80*	*121.80*	*123.40*
4	*Annual WPI increase %*	*2.96*	*4.26*	*1.67*	*1.31*
5	*CPI: WPI (70:30) weightage (%)*	*3.04*	*5.09*	*5.78*	*3.91*
6	*Average 4 Year annual increase@* ***70:30 weightage (%)***	***4.454%***			

Note:

The Commission notes that there has been severe fluctuations as far as the inflation indices are concerned. Further, due to the outbreak of COVID 19, and the overall depressing economic situation faced by all major industries in the country, the offtake of electricity during this period has considerably reduced and there is a glut as far as the electricity market is concerned.

However as of now, the economy seems to be on a path of revival and the increase in oil prices have also added to the overall inflation in the economy. Hence, the Commission feels that any data of past indices may not completely reflect the true economic situation in the country and its inflationary trends and therefore is of the opinion that, for the purpose of ARR&ERC for the Control Period, it would be advisable to rely on historical inflation data for the previous four years. But, the actual escalation rates based on the actual inflation existing for each year of the Control Period shall be considered at the time of the truing up of the concerned financial year and would be a more reliable basis. Hence, the actual inflation indices will be allowed at the stage of truing up for the respective years."

27. As discussed in the preceding paragraphs and provision of the Tariff Regulations, 2021, the average escalation rate approved by the Commission for the Control Period from 2022-23 to 2026-27 based on the average of the 'consumer price index and whole sale price index' is 4.454%. However, the Note to the paragraph-1 to the Annexure-7 of the Tariff Regulations 2021 provides that, the escalation rates based on the actual inflation indices shall be adopted for approving the O&M expenses while Truing up of the respective years. The actual inflation rate of the year 2022-23 is arrived as detailed below.

Table 13
Actual inflation for the year 2022-23

Sl No	Particulars	2021-22	2022-23
1	Consumer Price Index (2016 price level)	123.6333	131.1167
	Increase in CPI in 2022-23 over 2021-22		6.05%
2	Whole Sale Price Index (base year 2011-12)	139.4	152.5
	Increase in WPI in 2022-23 over 2021-22		9.40%
3	Weighted average increase (70% CPI & 30%WPI)		**7.06%**

28. Based on the actual escalation of 7.06% in the year 2022-23, the revised O&M expenses of Smart City is approved by the Commission considering actual inflation as given below.

Table 14
Revised O&M expenses of Smart City approved for the year 2022-23 considering Actual Inflation (Rs. lakh)

Particulars	Year	Base year	Control Period- 2022-23	
	2020-21	2021-22	Actual inflation	O&M Approved
Employee Cost	16.24	17.03	7.06%	18.23
R&M Expenses	16.47	17.27	7.06%	18.49
A&G Expenses	4.46	4.68	7.06%	5.01
Total	**37.17**	**38.97**		**41.72**

29. ***Accordingly, considering the details submitted and the actual employee cost being within the norms fixed, the Commission hereby approves the actual employee expenses of Rs.17.46 lakh for 2022-23.***

Repair and Maintenance Expenses

30. The licensee in the petition has claimed Rs.22.17 lakh as R&M expenses for the year 2022-23. The Commission while approving the ARR&ERC for the year 2022-23 had approved an amount of Rs.17.20 as the R&M expenses for the year. The repair and maintenance expenses claimed by the licensee includes Rs.17.78 lakh for the O&M cost of the outsourced agency and Rs.4.39 lakh towards materials and services. During 2021-22, the R&M expenses booked was Rs.21.09 lakh which was approved by the Commission while truing up the accounts. A comparison of the R&M expenses of the licensee is tabulated below;

Table-15
Details of R&M expenses (Rs Lakh)

	2020-21	2021-22	2022-23
Description	**Claimed and Trued Up**	**Claimed and Trued Up**	**For Truing Up**
Technical Executive	4.00	3.94	4.43
Electricians	8.19	8.46	9.23
Housekeeping Staffs	2.61	3.90	4.13

Total	**14.80**	**16.30**	**17.78**
Material & Services	1.67	4.79	4.39
Grand Total	**16.47**	**21.09**	**22.17**

31. As per the details submitted, there are seven employees of the outsourced O&M agency, which includes one Technical Executive, four Electricians and two Housekeeping Staffs. The licensee stated that the man power is utilized for operation and maintenance of two 33 KV substations in Land A & Land B. The licensee has also stated that, variation of R&M expenses was due to revision on employee cost.

32. The licensee in the petition has not submitted any split-up details of the R&M expenses claimed for the year nor has submitted a detailed write up to substantiate the expenditure. Considering Para 31 of this Order, the Commission has already approved Rs.18.49 lakh as R&M Expenses based on actual inflation rate for the year 2022-23. ***Accordingly, the Commission approves Rs.18.49 lakh as the R&M expenses for the year 2022-23 as against Rs.22.17 lakh claimed in the petition.***

A&G Expenses

33. The A&G expenses claimed by the licensee as per the petition is Rs.8.09 lakh for the year 2022-23. The Commission while truing up the accounts in the year 2021-22 had approved the actual amount of Rs.5.64 lakh as claimed by the licensee. Compared to the previous year, the main increase is on account of Periodical Energy Audit for BEE, advertisement expenses and fees towards filing petitions before the Commission. The split up of the claim made by the licensee is shown below.

Table 16
Comparison of A&G expenses (Rs. Lakh)

Particulars	2020-21 Claimed and Trued Up	2021-22 Claimed and Trued Up	2022-23 For Truing Up
Insurance	1.05	1.13	1.16
Telephone & Postage, etc.	0.16	0.15	0.19
Audit Fees	0.25	0.25	0.25
Conveyance	0.14	0.04	0.10
Periodical Inspection charges	-	0.85	0.84
Periodical Energy Audit for BEE	-	-	0.68
Water charges	0.10	0.12	0.13
Printing & Stationery	0.08	0.08	0.14
Advertisement		0.15	0.76
Bank Charges	1.46	1.49	1.13
Office Expenses	0.70	0.70	0.78
License Fee and other related fee	0.11	0.14	0.18

V-sat, Internet and related charges	0.20	0.21	0.20
Books & periodicals	0.00	0.00	0.00
Computer Stationery	0.01	-	-
Others -PPA, ARR	0.20	0.33	1.55
Total A&G Expenses	**4.46**	**5.64**	**8.09**

34. The licensee has apportioned some expenses as part of A&G (10% to 15% of the total expense) such as Telephone & Postage, Water charges, Printing & Stationery, Office Expenses, V-sat, Internet and related charges. The details of the apportionment made by the licensee is shown below;

Table 17
Apportionment of A&G expenses for the year 2022-23 (Rs. lakh)

Particulars	Total Expense	Apportionment %	Distribution Business Expense
Insurance	1.16	100%	1.16
Telephone & Postage, etc.	1.28	15%	0.19
Audit Fees	0.25	100%	0.25
Periodical Energy Audit for BEE	0.68	100%	0.68
Periodical Inspection charges	0.84	100%	0.84
Water charges	0.87	15%	0.13
Printing & Stationery	0.90	15%	0.14
Bank Charges	1.13	100%	1.13
Advertisement, exhibition publicity	0.76	100%	0.76
Office expenses	5.17	15%	0.78
License Fee and other related fee	0.18	100%	0.18
V-sat, Internet and related charges	1.35	15%	0.20
Books & periodicals	0.03	15%	0.00
Conveyance	0.10	100%	0.10
Others – PPA, ARR	1.55	100%	1.55
Total A&G Expenses	16.25		8.09

35. In the petition, the licensee stated that, A&G expenses increased due to periodic energy Audit for reporting to Bureau of Energy Efficiency (BEE) and charges of Rs.0.68 lakh and Rs.1.55 lakh fees remitted for petitions.

36. After duly considering the claims made by the licensee, the Commission noted that an additional expense of Rs.0.68 lakh for energy Audit for reporting to Bureau of Energy Efficiency (BEE) and charges of Rs.1.28 lakh for additional petition fees (ARR &ERC Petitions and other petition) to the Commission can be allowed in addition to the norms approved by the Commission.

37. Considering Para 31 of this Order, the Commission has already approved Rs.5.01 lakh as A&G Expenses based on actual inflation rate for the year 2022-23. ***Accordingly, the Commission hereby approves Rs.6.97 lakh as A&G Expenses for the year 2022-23 including Rs.1.96 lakh in addition to the norms approved by the Commission.***

O&M Expenses Approved

38. The O&M expenses, which is inclusive of Employee costs, R&M expenses, and A&G expenses, approved by the Commission for the year 2022-23, is Rs.42.92 lakh as shown in table below.

Table 18
O&M Expenses approved for 2022-23 (Rs. lakh)

Particulars	2022-23		
	ARR Order	Truing Up Petition	Trued Up
Employee Cost	16.96	17.46	17.46
R&M Expenses	17.20	22.17	18.49
A&G Expenses	4.66	8.09	6.97
Total	**38.82**	**47.72**	**42.92**

39. ***The Commission hereby approves the O&M expenses of Rs.42.92 lakh for the year 2022-23 as against Rs.47.72 lakh claimed by the licensee.***

Depreciation

40. The depreciation claimed by the licensee in the petition for Truing Up of Accounts for the year 2022-23 is Rs. 78.87 lakh. The Commission while truing up the accounts for the year 2020-21 had provisionally approved depreciation of Rs.78.87 lakh. The depreciation claimed by the licensee as per the petition for Truing Up of Accounts for the year 2022-23 is detailed below;

Table-19
Depreciation claimed for the year 2022-23 (Rs. lakh)

Asset Group	Rate of depreciation (%)	Gross Fixed assets		Depreciation		
		At the beginning of the year	Addition during the year	Cumulative in beginning of the year	Additions during the year	Cumulative at the end of year
Land & land rights	1.01%	21.14	0.00	1.28	0.21	1.49
Other Civil works	3.34%	206.38	0.00	17.76	6.89	24.65
HV distribution system						
Distribution lines	5.28%	286.86	0.00	39.00	15.15	54.15
Transformers	5.28%	123.78	0.00	16.83	6.54	23.37
Switchgears, Control gear & Protection	5.28%	229.34	0.00	39.17	12.11	51.28
Batteries	5.28%	9.26	0.00	1.26	0.49	1.75
Others	5.28%	247.75	0.00	40.22	13.08	53.30
LT distribution system						
Distribution lines	5.28%	95.60	0.00	27.63	5.05	32.68
Transformers	5.28%	87.35	0.00	25.34	4.61	29.95
Switchgears, Control gear & Protection	5.28%	61.26	0.00	17.17	3.23	20.40
Batteries	5.28%	4.92	0.00	1.56	0.26	1.82
Others /DG	5.28%	200.24	0.00	60.27	10.57	70.84
Meters	5.28%	7.47	0.00	1.23	0.39	1.62
IT Equipments	15.00%	1.86	0.00	1.43	0.28	1.71
Total		**1583.23**	**0.00**	**290.15**	**78.87**	**369.02**

41. The Commission has examined the details furnished by the licensee and observed that, the claim is based on the Tariff Regulations, 2021. Accordingly, ***the Commission hereby approves the deprecation of Rs.78.87 lakh as claimed by the licensee for the year 2022-23***.

Interest and Finance Charges

42. The licensee in the petition has claimed an amount of Rs.38.57 lakh as interest and finance charges which includes Rs.4.25 lakh as interest on security deposit of consumers and Rs.34.32 lakh as carrying cost for past accumulated revenue gaps. The analysis and decision of the Commission are detailed below.

A. Interest on Normative loan

43. The Commission while truing up the accounts for the year 2021-22 had deferred the interest on normative loan due to change in the capital structure as 100% Debt Capital and had directed licensee to file a separate petition before the Commission for redetermination of provisionally approved interest and finance charges for the years 2015-16 to 2019-20, based on the changes approved in the capital structure. The licensee has filed the petition before the Commission and issued Order on same dated 06.11.2024 vide OP No 32/2024.

44. In view of the amount of Interest on normative loan and RoNFA approved by the Commission for the period 2016-17 to 2021-22 based on the revised capital structure in OP 32/2024, the ***Commission hereby approves Rs.59.92 lakh as the interest on normative loan, calculated based on the Tariff Regulations, 2021*** as shown below;

Table 20
Interest on normative loan approved by the Commission (Rs. lakh)

Particulars	2022-23
Assets Additions approved by the Commission (A)	0.00
Dismantled Assets	0.00
Deprecation Approved by the Commission (B)	78.87
Assets Additions considered for Normative loan - 100 % of (A)	0.00
Opening Normative loan	812.60
Additional Normative loan during the year	0.00
Deduction of Normative Loan	0.00
Allowable depreciation as Repayment- 100 % of (B)	78.87
Closing Normative loan	733.73
Average Normative Loan	773.17
Rate of Interest (%)	7.75%
Interest on Normative loan approved	**59.92**

B. Interest on security deposit

45. An amount of Rs.4.25 lakh has been claimed as Interest on consumer security deposit for the year 2022-23. ***The Commission has considered the claim made by the licensee and approves Rs.4.25 lakh as interest on security deposit paid to consumers.***

C. Carrying cost for past revenue gaps

46. The Commission had in the True-up Order for 2021-22 approved Rs.630.06 lakh as the cumulative revenue gap till 2021-22. Based on Order dated 06.11.2024 on the approval of Interest on normative loan and RoNFA, the revised accumulated gap as on 31.03.2022 is Rs.835.02 lakh (Rs.630.06 lakh + Rs.204.96 lakh) and the Order in OP 75/2023 dated 24.04.2024 with regard to the truing up of accounts for the year 2021-22 is revised to that extent.

47. The Carrying cost of cumulative revenue gap is to be allowed considering the cost of funds actually incurred by the entity for funding the revenue gap. The rate of interest to be considered for computing the carrying cost is at the rate of 5.10% per annum (the retail term deposit rate of SBI for a tenure of one year as on 01-04-2022). ***Accordingly, the carrying cost for past revenue gaps to be considered for an amount of Rs.835.02 lakh works out to Rs.42.58 lakh (Rs.835.02 lakh * 5.10%).***

48. ***Accordingly, the total interest and finance charges approved for the year 2022-23 is Rs.106.75 lakh***. Details are as shown below;

Table -21

Approved Interest and Finance Charges for 2022-23 (Rs. lakh)

Particulars	Trued Up
Interest on Normative Loan	59.92
Interest paid to Consumers for Security Deposit	4.25
Carrying cost for past revenue gaps	42.58
Total	**106.75**

Return on Net Fixed Assets (RoNFA)

49. As per Regulation 28(2) of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, if there is no equity invested in the business or equity invested in the regulated business of the distribution licensee is not clearly identifiable, return at the rate of 5.50% shall be allowed on the net fixed assets at the beginning of the financial year for such regulated business.

50. The licensee in the petition has claimed an amount of Rs.38.79 lakh as RoNFA, since the equity invested in the regulated business is not clearly identifiable. The claim is at the rate of 3% on the net fixed assets at the beginning of the

financial year which is the rate in the Tariff Regulations, 2018. The claim made by the licensee is tabulated below;

Table 22
RoNFA claimed for 2022-23

Opening Value of NFA at the beginning of the year (Rs.lakh)	1293.07
Rate of Return (%)	3.00%
Return on Net Fixed Assets (Rs.lakh)	38.79

51. The Commission while issuing the Orders on truing up of accounts for 2021-22 and the ARR&ERC for the Control period had not allowed any return and had directed the licensee to file separate petition for approval of return based on the changes in capital structure. The licensee in compliance to the Orders of the Commission filed separate petition. Based on the decision in the petition vide Order dated 06.11.2024 and the revised rate of return on NFA @ 5.50% as per the Tarff Regulations, 2021, ***the Commission hereby approves Rs.71.12 lakh as return on net fixed assets for the year 2022-23***.

Table 23
RoNFA approved by the Commission (Rs. lakh)

Particulars	**2022-23**
Opening NFA	1293.07
Rate of Interest (%)	5.50%
RoNFA	**71.12**

Revenue from Sale of Power

52. The Commission in the Order on ARR&ERC had total revenue of Rs.555.68 lakh from the sale of 49.50 lakh units. The licensee in the truing up petition has claimed total revenue of Rs.611.27 lakh from sale of 56.13 lakh units for the year 2022-23. It is seen that there is increase in the revenue compared to the previous year considering the increase in sale. Category-wise comparison of the revenue from sale of power with the year 2022-23 is shown below.

Table 24
Comparison of Revenue from Sale of Power

Tariff Category	**2021-22 – Trued Up**			**2022-23 Truing up**		
	Energy sales units (In lakh)	Revenue from Sales (Rs. lakh)	Avg. realization (Rs/kWh)	Energy sales units (In lakh)	Revenue from Sales (Rs. lakh)	Avg. realization (Rs/kWh)
LT IV (B) -Industrial IT &IT Enabled	14.95	127.12	8.50	18.37	163.21	8.88
LT VI (F) -Construction	5.08	61.24	12.06	8.82	100.84	11.43
HT I (B)	11.17	102.85	9.21	17.53	163.08	9.30
HT II (B)	6.13	73.57	12.00	11.41	184.15	16.14
TOTAL	**37.33**	**364.78**	**9.77**	**56.13**	**611.27**	**10.89**

53. The Commission has examined the claim made by the licensee and notes that there is increase in the sales and revenue compared to previous year which indeed is the sign of recovery from the general industrial slowdown. ***Accordingly, the Commission hereby approves the revenue from sale of power at Rs.611.27 lakh as claimed by the licensee for the purpose of Truing Up of Accounts for the year 2022-23.***

Non-tariff income

54. The licensee has claimed non-tariff income of Rs.10.32 lakh for the year 2022-23. The non-tariff income has increased compared to the previous year. The split-up details of Non-Tariff income claimed are shown below.

Table 25
Comparison of Non-Tariff Income (Rs.lakh)

Particulars	2020-21 Claimed and Trued Up	2021-22 Claimed and Trued Up	2022-23 For Truing Up
Interest on security deposits	4.15	5.93	6.41
Commission for collection of electricity duty	0.15	0.15	0.23
Interest on delayed or deferred payment of bills	0.45	0.63	0.70
Application fee (Renewable Energy)	0.01	0.90	2.98
Total	**4.76**	**7.61**	**10.32**

55. ***The Commission considers the claims and approves Rs.10.32 lakh as non-tariff income for the year 2022-23***.

56. Based on the above, the approved expenditure and revenue for the year 2022-23 after Truing Up is as shown below:

Table 26
Income and Expenditure Statement after Truing Up of Accounts for 2022-23
(Rs. lakh)

Particulars	ARR Order	Truing Up Petition	Trued Up
Purchase of power	425.11	489.56	483.73
Employee Cost	38.82	17.46	17.46
R&M Expenses		22.17	18.49
A&G Expenses		8.09	6.97
Depreciation	78.87	78.87	78.87
Interest and financing charges	38.09	38.57	106.75
Return on NFA	-	38.79	71.12
Total Expenditure	**580.89**	**693.51**	**783.39**
Revenue from sale of power	555.68	611.27	611.27
Other income	6.03	10.32	10.32
Total income	**561.71**	**621.59**	**621.59**
Revenue (Gap)/surplus	**(19.18)**	**(71.92)**	**(161.80)**

Revenue (Gap)/Surplus for 2022-23

57. Accordingly, as against the approved Revenue gap of Rs.19.18 lakh for the year 2022-23, the licensee in the petition for Truing Up of Accounts has claimed a Revenue Gap of Rs.71.92 lakh. The approved Revenue (Gap)/ Surplus for the year 2022-23 after Truing Up the accounts is as shown below.

Table 27
Revenue (Gap)/ Surplus Approved for the year 2022-23

Particulars	2022-23		
	ARR Approved (Rs. lakh)	As per Truing Up Petition (Rs. lakh)	Trued Up (Rs. lakh)
Total Expenditure	580.89	693.51	783.39
Total income	561.71	621.59	621.59
Revenue(Gap)/surplus	**(19.18)**	**(71.92)**	**(161.80)**

Orders of the Commission

58. The Commission after considering the petition filed by M/s. Smart City for Truing Up of Accounts for the year 2022-23, views presented by the licensee during the hearing and the clarifications and details provided by the licensee, approves the following:

a) Total income is Rs.621.59 lakh

b) Total Expenditure is Rs.783.39 lakh

c) The revenue gap for the year 2022-23 is Rs.161.80 lakh

d) Total cumulative revenue gap till 2022-23 will be Rs.996.82 lakh (Rs.835.02 lakh as opening cumulative revenue gap as on 01.04.2022 + current year revenue gap of Rs.161.80 lakh)

59. The petition is disposed of. Ordered accordingly.

Sd/-
Sri. T.K Jose
Chairman

Sd/-
Sri. B. Pradeep
Member

Approved for Issue

Sd/-
C.R. Satheesh Chandran
Secretary